Draft for author review

Manuscript: When Is History Long Enough? Conditional Quantile Models versus Historical Rules for Peak Net-Position Limits

Dear Editors,

Please consider this manuscript for the *Journal of Forecasting*.

Position limits concern the largest sampled absolute net position during a review period, which an endpoint forecast can miss. We compare historical and conditional quantile forecasts using one FX market maker's positions and aggregate dealer records from the New York Fed and CFTC. Historical rules are difficult to beat across these records, while longer-history FX gains coexist with adverse weekly outcomes and important exceptions. Simulations, learning curves and the partly supported CFTC check are consistent with estimation costs varying with history and shrinkage, while causal attribution remains unresolved. Practical validation should compare scores, breaches and stated limit costs against matched historical benchmarks, since different charges can favor different procedures.

The contribution is a bounded comparison of established forecasting procedures under explicit historical references. The additional CFTC history check retains its locally committed predictions, failed criteria and complete counterexamples. Its shorter-history outcomes were already known, and the aggregate reporting systems do not provide independent individual-dealer replications. The cost comparisons illustrate stated preferences rather than measured trading or funding gains.

The accompanying materials provide editable manuscript sources and records of adverse and unavailable outcomes, together with versioned code and public aggregate results. Restricted FX observations and private prediction vectors remain excluded; access and reproduction limits are stated in the manuscript and README.

Sincerely,

[Corresponding author and contact details to be completed by author]

Author information and required submission declarations: [author to complete].